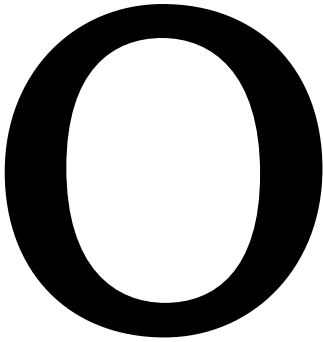




One of India's leading mutual fund companies, Parag Parikh Financial Advisory Services (PPFAS), has two of its schemes in the BT-VR Top 100 Mutual Fund Schemes. Parag Parikh Flexi Cap Fund, with ₹1.15 lakh crore, has the largest assets under management (AUM) among equity schemes, while Parag Parikh ELSS Tax Saver Fund has an AUM of ₹5,524 crore. In this exclusive interview with Siddharth Zarabi, Group Editor, *Business Today*, Rajeev Thakkar, CIO & Director of PPFAS Mutual Fund, shares his insights on market trends, evolving investor behaviour, and what lies ahead for India's mutual fund investors. Edited excerpts:

Q: At the outset, can you share how your core investment philosophy balances conviction in fundamentals with the lure of short-term themes and high-beta opportunities?

A: Typically, the life situations, goals, aspirations, and risk appetite of investors do not change within 12 months. At best, some small tweaks may be required here and there. So, to your question as to how one balances the longer-term fundamentals and convictions with the shorter-term noise, my recommendation would be to have a small allocation to these tactical things (macro-economic uncertainties). People either go overweight on equity or underweight on equity in terms of their asset allocation. **The bulk of the investing should be driven by their life situation. I wouldn't recommend a 70-year-old requiring monthly cash flows to be heavy in equity, and a 25-year-old with a long investing career ahead should be equity-heavy despite the noise.** I would recommend tuning out of some of these headlines that concern us on a day-to-day basis.

Q: How should an investor also read the prospects of the market for the new *Samvat* (Hindu solar calendar)?

A: A lot of investors are relatively new to the market. Just for context, pre-Covid, we had about 40 million demat accounts, and today that number stands close to 200 million. Now, some of this would be duplication, but a lot of new investors have come into the markets. Even in the mutual fund space, the number of unique investors has grown quite a bit. A lot of people haven't seen the sideways market, and they are surprised by the past 12-month market performance. I would like to point this out to the new set of investors that equity, by nature, has this kind of trend. There are some years of superlative returns. There are some years where the market goes nowhere or, in fact falls as well.

“I would like to point out to the new set of investors that equity, by nature, has this kind of trend. There are some years of superlative returns. There are some years where the market goes nowhere or, in fact, falls as well”

| 11

Recommendation number one is, invest only that money into equities that you can stay invested in for a period of at least five to seven years.

There has been a big disconnect between valuations that prevail in India and the valuations that prevail globally. While GDP growth has been strong, corporate profitability has been weak, and I have a hypothesis around this that even in sectors that are seeing a reasonable amount of volume growth, the competitive intensity has been at a high level. Newer players are coming in, existing players are fighting for market share, and people want to grow their sales even at the cost of profitability.